Strategy Land

Richard Rumelt's Web Journal on Good and Bad Strategy in Business, Politics, and Economics

Will Bookstores Survive?

The forces at work deconstructing physical book retailing

February 22, 2011 By Richard Rumelt

On Sunday I went to the local Borders in Santa Fe (New Mexico), looking at its going-out-of-business bargains. I selected some books and audio books and stood in the long check-out line.

In New York or Los Angeles you don't normally speak in public to people you don't already know. If you do, they tend to ignore you or even turn and move away. Santa Fe is a small town and people will talk with strangers. In the line at Borders, the man behind me remarked that he would miss Borders. "I love to spend an afternoon browsing and having a coffee," he said. We chatted about bookstores in general for a bit, but were then distracted by the young woman in front of me. She had been reading one of her book choices in line, but then used her iPhone to download an electronic version from Amazon. Putting the physical version down, she began to read the e-version on her iPhone's Kindle App. "Cheaper and quicker" she said to us with a smile. (The book was *The Convenient Marriage, by* Georgette Heyer*,* Borders' special-discount priced at $10 with the Kindle edition priced at $7.99 from Amazon.)

After fifteen minutes of waiting in line I gave up. The line was moving very slowly and it looked as if it would take another hour to get to the cashier. I handed my selections to a store clerk and left. I wondered what new retailer would occupy the space.

Each of the three of us in that line—the man who loved to spend afternoons at the store, the woman who browsed at the store but bought via Amazon, and myself, too impatient to wait in line, illustrate some of the strong forces deconstructing book retailing. But, before looking at those forces, it is important to understand Borders' past success.

Some Background

Those of us over 35 or 40 remember Borders stores opening up across the United States. Tom and Louis Borders opened their first store 1971 in Ann Arbor, near the university. Fourteen years later, the brothers opened their first "superstore" and began to expand into a national footprint. The chain's phenomenal growth startled the book industry.

At that time, the chatter in many quarters was about big chains driving the small independent bookstore out of business, a viewpoint exemplified by the 1998 hit movie *You've Got Mail* which featured the tension between charming Meg Ryan's small childrens' bookstore and the big bad chain owned by Tom Hanks.

My own experience was different. When I lived and worked in Boston, I grew used to the many bookstores around Harvard Square, near MIT, and Boston University. Moving to UCLA in 1976, I was amazed at the lack of bookstores. There was a small Walden Books in Santa Monica, a Science

Fiction Bookstore, a small store specializing in medical books. In Brentwood, Dutton's held forth with a reasonable selection of literature (and a whole section devoted to Noam Chomsky). Most of the small independent booksellers specialized in counter-culture, new-age, and anti-capitalist materials. In Westwood itself, supposedly a college town serving UCLA, there were no private bookstores. Later, I served for a year on the board of the student-run non-profit that ran the internal UCLA bookstore and discovered why. The student association-run bookstore refused to share the lists of course books with outside companies, ensuring their monopoly over sales, thereby increasing the funding for student activities. To browse books within my own specialty, I visited book stores on occasional trips to Boston or London.

When Borders arrived in the area, it was a breath of fresh air. Clean, well-organized, with a very broad selection, the store not only encouraged browsing, it provided leather armchairs and a coffee bar. From the very beginning, it was flooded with business.

In the industry, Borders developed a reputation for high-quality inventory management, reasonably knowledgeable staff, and regional managers who were helpful in arranging the special events publishers and authors cherished. Of course, publishers now had a large powerful company to deal with, one with substantial bargaining power.

In 1992, the Borders brothers sold the company to Kmart, which also owed Walden Books. Two years later, the Borders Group was formed, holding Borders, Walden Books, CD Superstores, and Planet Music. Spun off from Kmart, Borders Group went public and continued its rapid growth.

A 10 percent decline in profits during 2005 alarmed Wall Street and Borders replaced CEO Gregory P. Josefowicz, who had been an executive with a food and drug retailer, with George L. Jones, who had been CEO of Saks Department Store Group. Jones' "strategic plan" was to increase EBIT margins from 1.8 percent to 5-6 percent by paring back investments in international operations and Waldenbooks and by "reinventing" the company as a "center for knowledge and entertainment." With regard to reinvention, Borders opened a number of "new concept" stores. The new store design brought a fresh look, emphasized "popular" categories like children's books, graphic novels, travel, cooking, and wellness. It had computer kiosks to make recommendations, video interviews with authors, piped music, and a section where a customer could publish their own books, make their own CDs and create their own photo books.

By 2009, it was clear that the new initiatives were not paying off. Results at the new concept stores were mixed. Selected titles sold better at the new stores, but the whole busy "entertainment" atmosphere went against the grain of old-style browsing. The table below compares the 2009 financial results for Borders with its chief competitor, Barnes & Noble.

Borders had made some mistakes. It pushed heavily into music just before the advent of downloading wiped out the music retailing chains. It pushed heavily into DVDs just before Netflix wiped out Blockbuster. It opened too many superstores and pushed abroad too fast. It had state-of-the-art IT in 1990, but didn't keep it up to date or integrate it with the Internet.

	Borders	B&N
Sales	100%	100%
Cost of Goods Sold	74%	71%
Gross Margin	26%	29%
Selling Gen. & Admin.	26%	24%
Depreciation & Amort.	3%	4%
EBIT	-3%	1%
Net Income	-4%	1%
Assets/Sales	50%	64%
Inventory/Sales	31%	24%

2009 Financial Results

Struggling to break the downward trend in sales, Borders also pushed its prices down, especially with regard to its "Rewards" program. As the table shows, Barnes & Nobel's prices were about 41 percent above its cost (cost of the book before operating expense), whereas Borders' prices were about 35 percent above cost.

(The cost-of-goods sold figures are the prices paid to publishers. Since these are comparable between the two chains, the differences in these ratios are mostly due to differences in retail prices.) This difference in prices accounts for most of the difference in profit rates between the two chains.

Forces at Work

Internet Retailing. The most obvious force at work is online book retailing, especially Amazon. For some people, Amazon is the preferred source because its prices are lower. Its prices are lower because confused governments have exempted Internet sales from state sales tax, a hefty nine percent in some places. And, its prices are lower because it doesn't have to pay for easy chairs, sales staff, stolen merchandise, or clean up after all-day-campers.

However, it is wrong to see Amazon as simply a discount outlet. Many people (like me) prefer Amazon because it is quicker. To buy a book from a bookstore I have to get in the car, drive to the store, find the book, get in line, pay, and drive home. If they don't have it in stock, I have to repeat the process at another bookstore. By contrast, to buy a book from Amazon takes a few moments and it arrives in the mail two days later. Yes there is a wait, but I am working or entertained during the wait, not standing in line or fighting the traffic. I would buy from Amazon even if its prices were higher than those of the local bookstore.

Thirdly, Amazon, from its very beginning, understood that the real Internet killer-app was *search*. Amazon's Web software provides a powerful substitute for physically browsing books in a library or bookstore. Not only does it quickly list books on a subject, it gives you a peek inside many books, and it provides useful feedback from other readers as well as unbiased information such as statistics on titles that buyers of a book also bought.

Finally, Amazon has the broadest selection. For people who simply want a bestseller this matters little. But for many book customers, access to less well-stocked titles is a big plus. Whereas the typical modern big-box "super" store carries 90,000-110,000 titles, Amazon lists close to 3 million. The increase in consumer surplus from this much-wider selection has been estimated to be 7 to 10 times as large as the gains from its slightly lower prices.[1] Interestingly, a physical store with this much inventory would be almost impossible to browse. Search makes it possible to access this huge selection.

Wal-Mart & Target. The second force undermining the standard broad-range bookstore is extreme discounting of best-sellers by the low-end national retailers: Wal-Mart and Target. These stores focus on moving large volumes of best-selling titles, often pricing near or below cost. This denies other book retailers some of the profit and a great deal of the revenue associated with these very important high-volume titles.

Uncaptured Value. In general, people like bookstores. The man behind me in that line at Borders valued the calm atmosphere and liked to "browse." What he really meant by "browse" was the service traditionally provided by a public library—a wide selection of books, free access to chairs, and a quiet room. Even better than the public library, Borders had a coffee shop and did not have books missing from the shelf because they were out on loan. But this customer did not pay Borders for the value he received.

Similarly, a great many parents bring their young children to Borders, using the kid's book section as a combination play-area and public library. Again, the business does not receive any payment

for providing this valuable environment.

The woman in line in front of me who put aside her paperback book in favor of downloading an e-version also received a free service. She had benefited from the physical display of books at the store, leafing through several, and then began to read one. Having used the physical bookstore to make a choice, she made an instant electronic purchase from Amazon.

Many customers at physical book stores value the knowledge of the staff and ask for recommendations and referrals. But it is now easy to take advantage of this free service and simply go home and order the recommended volume online.

This issue has a long history in retailing. Whenever a retailer bundles product with a free service, it is exposed to the risk that the customer will absorb the service and then buy the product from a discount channel. High-end audio shops can spend hours showing off components to prospective buyers, only to have them leave and buy from a discount channel. Hardware stores that try to employ skilled staff will see customers take advice only to buy a few bolts, deferring the purchase of a more expensive item until they are at the Home Depot.

Overuse. When a service is free and valuable it will be overused. Thus, because it costs almost nothing to send 10,000 emails, spam is a problem. In the pre-Wi-Fi era, the reading and lounging areas at Borders were rarely crowded. But with the advent of Wi-Fi, it became attractive for many people, especially students, to camp-out at the bookstore while doing homework, managing email and social networking, and drinking coffee. Not only are they receiving a service without paying for it, their overuse decreases the value provided to paying customers.

Summary

Despite Borders' mistakes, none would sink a ship what wasn't already awash in a storm. One cannot help but conclude that Borders is simply the canary in the coal mine for book retailing. The forces at work are substantial and will not leave any bookstore unscathed.

Look at the online commentary on Borders and you will find an undue emphasis on its e-book strategy—perhaps a mistake, but not the current reason physical book retailing is in trouble. You will also find the fallacious belief that e-books will save Barnes & Noble from a similar fate. They may save Barnes & Noble's corporate name, but not its physical bookstores.

Given the existence of online book retailing, one does not need to visit a bookstore to buy a bestseller, a famous children's book, or a birthday present for dad. Only those who do not shop online will be customers for these offerings and most of them will be price-sensitive, preferring Wal-Mart or Target. Squeezed between Amazon and Wal-Mart, bookstores' room for maneuver keeps shrinking. I imagine that once the chains fold, die-hard book lovers will push back into quaint neighborhood bookstores only to complain about the lack of coffee bars and easy chairs.

Footnotes

1. Brynjolfsson, Erik; Hu, Yu; and Michael Smith, "Consumer Surplus in the Digital Economy: Estimating the Value of Increased Product Variety at Online Booksellers," *Management Science*, 49 (11), 2003: 1580-96. [↩]

Tagged industry analysis, strategy | 5 Comments

5 Responses to *Will Bookstores Survive?*

Tom Lempar [February 24, 2011 at 10:07 pm]
I suspect that the Borders loyalty program was really meant to create a mailing list they can use for marketing. As you say, the discount involved may not have been worth it.

Reply

Paula B. [February 25, 2011 at 8:22 pm]
A fact that you did not emphasize is that Borders' creditors are mainly book publishers who have not been paid for its unsold inventory. Penguin is on the hook for $41 million, Random House for $34 million, and so on.

Reply

Mitch Kramer [March 2, 2011 at 10:44 pm]
Borders stopped listening to its customers. A successful company must work to please the customer, not management.

Reply

Richard Rumelt [March 3, 2011 at 10:12 pm]
You can always please the customer by giving books away for free. Being deaf to customers is a huge mistake but there is more to competitive success than pleasing customers—you have to please them more than competitors do and not lose money in the process.

Reply

Divya [July 29, 2011 at 1:56 am]
It was insightful reading this article after hearing that Borders has filed for bankruptcy. The key asset of their stores was the free service and inventory. They could have combined both – (have eBook Readers) – and more sofa space – to create the next gen retailers. Its the inventory overhead that hurts them. So ditch it and focus on what Amazon doesn't provide.
Thanks anyway

Reply

Strategy Land ©2011 by Richard Rumelt. All rights reserved.

Wordpress theme SL2010 by General Imagination